

NOT JUST GAS

With the initial ruling in favour of Anil, Mukesh's woes have just begun. Whoever wins, the investors stand to lose.



| By Malini Bhupta |

The two Ambani brothers are back in the boxing ring. This time the stakes are very high, not only for the two brothers and their investors but the Government too. After the family settlement of June 2005, they are back to slug-ging it out in court. Anil is now crying foul over his elder brother's Reliance Industries Ltd (RIL) reneging on the deal under which it was supposed to supply gas to his Reliance Natural Resources Ltd (RNRL) at \$2.34/mmBtu for 17 years. With Mukesh's companies totting up a market capitalisation of \$56 billion and Anil's accounting for \$22 billion, it's not just about gas.

On the face of it, the battle may be over gas supply, but any decision will impact valuation. And the 23 lakh investors, who hold shares in both RIL and RNRL as a result of the demerger

in 2005, will need to decide whether to buy/sell or hold on to these heavy-weight stocks. Mukesh may call billionaire lists "mere titillations", but at this moment he's fighting to protect his flagship company from losing \$1 billion in profit a year, by refusing to honour the agreement. The legal battle may prove more costly for Mukesh, if the Supreme Court does not reverse the judgement. For instance, Mukesh's group lost Rs 32,574 crore in market capitalisation on July 15, the day the Bombay High Court ordered RIL to abide by the family settlement; RNRL gained Rs 3,438 crore.

RIL, which struck gas in the Krishna Godavari (KG) basin in 2002, is estimated to produce 80 mmscmd of gas in a year, which can help India save \$8 billion annually. This gas can replace close to 26 million tonne of crude oil, which accounts for 17 per cent of India's demand. Not surprisingly, the

Government is rushing to create an impression that it is protecting its share of profit by resisting the sale of gas by RIL to RNRL. Worse, it is also not pushing for implementation of the contract that RIL had signed with NTPC for 12 mmscmd of gas at the same price of \$2.34 mmBtu. Fact is both NTPC and RNRL need gas to be operational. RNRL wants 28 mmscmd, which it was to receive once the production reached 40 mmscmd to fire Reliance Power's 7,000 mw Dadri power plant in Uttar Pradesh. Says Rohit Nagraj, analyst at stock broking firm Prabhudas Liladher: "The high court ruling is definitely negative for RIL as it will have to sell at \$2.34. This is likely to have a negative impact on RIL's net present value for KG basin, future cash flows and earnings per share (EPS) in 2011."

The Bombay High Court may have ordered RIL to give gas at \$2.34 but this price is significantly lower than the